

Filing Your Taxes

Before you learn how to file taxes, let's address a common question many students ask: "Do I need to file taxes if I don't make that much money?" In short, if you earn less money than the standard deduction, you are most likely not required to file taxes.³⁵ In 2020, this means if you earn less than \$12,400 in a year, you probably do not need to file (unless you are a freelance employee, in which case you need to file taxes if you make over \$400). That said, even though you do not need to file taxes, you may want to file taxes because you could get a refund. For instance, if you have a job where you make \$4,000 per year and you have had \$400 withheld from your paychecks during the year, you can file your taxes and get that \$400 refunded to you.

Have you ever had an older person tell you that your life is way easier than their life was when they were young? Well, when it comes to taxes, that is probably true. Despite what you may have heard, filing your taxes, especially with the technology and services offered today, is really not that difficult. For the majority of people, filing your taxes only involves understanding and filling out a few forms: the W-4, the W-2, and the 1040.

When you start a job, you will be asked to fill out a **W-4**; perhaps you have already filled one out. The W-4 influences the amount of taxes taken out of each of your paychecks. Again, if you do not have enough money withheld from your paychecks during the year, you are going to owe the IRS money when you file your taxes; if you have too much money withheld from your paychecks during the year, you are going to receive a refund from the IRS.

35 There are certain situations where you do need to file taxes if you make a certain amount of money from "unearned income," like investments— <https://www.irs.gov/faqs/filing-requirements-status-dependents/filing-requirements>